autonomy and prestige, you will please do the needful urgently to do away with this unwarranted interference from the Ministry of Finance, and assure the staff accordingly, as the *staff feel humiliated*.'

With the credibility, role, and autonomy of the RBI being so openly questioned by former Governors and RBI employees, in addition to the media and Parliamentary committees, Urjit Patel clearly started feeling the heat. In a much-publicized event, he 'literally started running' out the back door of an auditorium in order to avoid reporters.[62]

But, in fairness to Urjit Patel, could the RBI have rejected the government's advice to undertake demonetization? The legal provisions make for interesting reading.

Section 7 of the Reserve Bank of India Act, 1934 states, 'The Central Government may, from time to time, give such directions to the Bank as it may, after consultation with the Governor of the Bank, consider necessary in the public interest.'

Section 26(2) of the Reserve Bank of India Act, 1934 states that on the recommendation of the RBI's central board, the government may, by notification in the Gazette of India, declare that with effect from a date specified in the notification, any series of banknotes of any denomination shall cease to be legal tender.

Therefore, as per Section 7 of the RBI Act, it is clear that the Central Government was within its rights to give directions to the RBI, and as per Section 26(2), the RBI board could legitimately recommend the withdrawal of the ₹1,000 and ₹500 notes as legal tender.

Given the above, it is possible that Patel and the RBI board may have felt that legally they had no option other than to agree with the government. However, to judge whether they discharged their duty to the standards of autonomy that the RBI was reputed for, another set of questions is more relevant.

Did the government consult the Governor, as required under Section 7? Did he believe the move would be in public interest? Did he